for which he must contribute in some way or the other to ensure security and stability of India. This transcends in a way the artificial constructs [of Centre and states],' N.K. Singh said in an interview.[136]

The BJP has long believed in a more unitary state with a federal structure. If the new proposal for division of money is implemented, it would certainly be a step in that direction. Combined with the battle over GST and the sharing of resources with the states—especially over how the Union government's financial obligations to states would be fulfilled after the pandemic, which Finance Minister Nirmala Sitharaman called an 'act of God'—this indicates a new phase in Centre–state relations and questions of financial autonomy. How these events play out will have huge implications for Indian federalism.